Income Taxes

The consolidated financial statements of the Fund do not include any provision for federal or state income taxes. All items of Fund earnings, deductions and credits are allocated among the partners. The distributive share of the Fund's earnings, deductions and credits are included in each partner's federal and state income tax returns.

A reconciliation of net earnings, as reported on the Fund's consolidated statements of earnings, to taxable earnings for the years ended December 31, are summarized as follows (in thousands):

	1999	1998	1997
Net earnings per consolidated statements of earnings	$ 2,865	$ 5,768	$ 2,268
Accelerated depreciation deducted for income tax purposes over straight-line depreciation deducted for financial reporting purposes	(164)	(195)	(228)
Amortization of goodwill deducted for financial reporting purposes, not deducted for income tax purposes	251	241	248
Differences in timing of revenue recognition for financial reporting purposes and income tax purposes, primarily related to cost reimbursement settlements	(38)	(2,275)	422
Differences in timing of expense deductions for financial reporting purposes and income tax purposes	516	(70)	(197)
Taxable earnings	$ 3,430	$ 3,469	$ 2,513